In Asia you also have some interesting Chinese exposure opportunities by including the Hang Seng China Enterprises and the MSCI Taiwan.

One thing to keep in mind here is that most diversified futures strategies go both long and short and that the short side of equities usually has a very different profile from the long side. When equities are in a bull market, they can move slowly upwards in an orderly fashion for long periods of time, compounding gains week after week and be highly profitable. On the downside, equity moves tend to be swifter and more violent. Sharp drop-downs followed by v-shaped reversals create a very dangerous trading environment. Many strong diversified futures programmes struggle on the equity sector and it is not uncommon even for good systems to lose money consistently over time on that game. Even so, I would not recommend that you cut out short equity futures from your trading universe. You are likely to end up without significant profits in the long run, perhaps even in a loss, but in the shorter run it provides a very valuable diversification and can smooth out returns. When the bad years for the equity markets come along, the short side of your equity trades can make very good money and help you recover from what otherwise might be a very bad year for you.

The unit used for equity index futures is simply points on the relevant index, which makes this a very simple calculation in terms of profit and loss. For example, if you buy five contracts at 100 and sell them at 110 and the point value for this particular contract is 10, your gain is $((110 - 100) \times 5 \times 10 \times 1) = 500$ of the currency in question.

Rates

In this sector I include practically everything on the yield curve, from the far left to the far right. The behaviour of instruments very far apart on this scale can seem like very dissimilar instruments in that the level of volatility will be extremely different and that has to be taken into account for position sizing. The far left of the yield curve always has a much lower volatility than the far right since these instruments have much lower duration and therefore a much lower interest rate risk, but going into the finer points of fixed income mathematics is far outside the scope of this book. You don't need to have read all Fabozzi's books on the subject to be able to trade bond futures but it does not hurt to get a little basic knowledge. The key point to understand is that volatility decreases drastically on the far left side and it goes up the farther on the right you move.